



75 Montgomery Street,
Suite 300
Jersey City, NJ 07302
Tel: 201-860-9600
Fax: 201-860-9686
www.serraintl.com

Headquarters:
Jersey City

US Offices:
New York
Los Angeles
Miami

July 5, 2017

Federal Maritime Commission
800 North Capitol Street, N.W., Ste. 1046
Washington, D.C. 20573

Subject: Docket No. 17-04, Regulatory Reform Initiative

I am Jeanette R. Gioia, president and qualifying officer of Serra International, Inc. (OTI 0282F) and its wholly owned NVOCC subsidiary, Serra Shipping, Inc. (OTI 16314N). We have been a U.S. business since 1919 and consider ourselves to fall in to the small to mid-sized OTI range, operating OTI activities from only two offices. Our company holds membership in the National Customs Brokers and Forwarders Association of America, Inc. and the New York New Jersey Foreign Freight Forwarders and Brokers Association. I have become more active in both associations because of the need to stay abreast of increased export regulation and my deep concern for its impact on small businesses.

That the Federal Maritime Commission (FMC) has established a Regulatory Reform Task Force and has sought comments from the public to identify regulations that are outdated or unnecessary, or inhibit job creation, or impose excessive costs offers a significant opportunity to align the rules more sensibly to reflect changes that are taking place in the world of shipping. The development of a healthy competitive marketplace for OTI services and the advances in technology making ocean freight rates widely accessible supports the logic of de-regulation.

Elimination of Tariff Publishing Requirements

I fully support the elimination of tariff publishing regulations both for OTI NVOCCs and ocean common carriers as they are simply not used and thus provide no benefit to

the shipping public. Shippers privately negotiate rates and economic terms under separate agreements or service contracts with OTIs or vessel carriers. The costs to maintain tariffs are burdensome and unnecessary. Removal of the requirement to publish tariffs will not be detrimental to the shipping public and actually lead to a reduction in costs that will assist economic growth. I urge the FMC to use its exemption authority to provide immediate relief, particularly, to OTIs to eliminate all tariff publishing requirements. In addition, there would be no need to require retention of historical tariff data. U.S. Export regulations require shipping documentation be retained for five years. Thus, any separate FMC requirement is unnecessary to support a regulation if it were to be eliminated.

Removal of Negotiated Rate Arrangements

As an exemption to the tariff publishing requirement, Negotiated Rate Arrangements (NRAs) would no longer be needed if the regulation itself were to be eliminated. NRAs have been successful because they bring the ocean rate process closer to market practice. Since they came in to being six years ago, the shipping public has only benefited. There have been no negative effects from this experiment. The removal of NRAs will only increase the benefits to shippers of speed and flexibility in rate setting. Some may argue that the FMC should perfect the NRA by allowing it to include economic terms and permitting mutually accepted amendments. It would be questionable why government resources should be spent to try to perfect a tool that would naturally exist in the market even if the regulation did not? Shippers and OTI NVOCCs will find the right mutually beneficial form for agreement on ocean freight rates and accompanying economic terms. The market should be able to decide this. Any disputes can be resolved by the commercial and legal system without need for FMC intervention or enforcement.

Removal of NVOCC Service Arrangements

If shippers and OTI NVOCCs want to establish elaborate contracts to clarify rates and terms, they will do so if it makes sense. There should be no need, particularly if

tariff publishing requirements are eliminated, to continue to retain this little used exemption to the tariff regulations.

Co-Loading Regulations

The shipping public does not receive any additional benefit from the existence of the co-loading regulations. Aside from unnecessary technical restrictions in 46 CFR 520.11 (c) (1 – 3), such as the requirement to note on the bill of lading the identity of any other co-loader involved with the shipment, FMC distinctions of carrier-to-carrier versus shipper-to-carrier are confusing and provide no benefit to the shipper. Furthermore, they go beyond the FMCs definition that an OTI NVOCC is a shipper in its relationship to the carrier. Some may argue that retaining co-loading regulations are important to maintain stability and ensure that NVOCCs act responsibly. Co-loading regulations are not the vehicle to achieve this. It is best done by retaining the licensing / registration system with its bonding and qualifying individual requirements. Co-loading regulations for ocean shipments threaten to take away the traditional economic benefits for the carrier and shipper that this type of consolidation provides as seen in the air and trucking freight sectors. These regulations do not benefit the shipping public and should be removed.

One OTI License

The movement away from common to contract carriage in ocean freight has also led to the merging of the roles of the forwarder and NVOCC. Congress seems to have recognized this when they renamed freight forwarders and NVOCCs as Ocean Transportation Intermediaries in the Ocean Shipping Reform Act of 1998. It can also be seen in the explosion of joint OTI forwarder and NVOCC licenses. The portion of licensed companies just operating as freight forwarders has shrunk. It may be time to consider the issuance of one OTI license. Companies can still chose to provide forwarding services alone without issuing their own bills of lading. It would be clear when OTIs are performing as a forwarder, or an NVOCC, or both. When OTIs act an NVOCC they will be issuing their bill of lading. One license would simplify the structure of the industry and align it with how it is operated globally.

In conclusion, I would like to emphasize how the shipping public has benefited from the de-regulation of the air freight, trucking, and rail sectors. De-regulation encouraged increased competition and economic growth. Why should the ocean freight sector be any different? The maritime shipping world has changed. Rate and service comparisons are readily available on the internet. Some websites are offering door-to-door services with instant rate comparisons. This has sprung up because it is servicing a need in the market. OTIs should not be held back by outdated regulations. The FMC should move to provide immediate relief by using its exemption authority to remove the requirements for tariff publication, and NRA and NSA alternatives as well as the co-loading confusion. The Federal Government does not need to be involving itself in the form and manner of pricing that is best left to the market. This will only benefit the shipping public and the economy.

Respectfully submitted,

SERRA INTERNATIONAL, INC.



Jeanette G. Gioia
President